INSTRUCTURE

Continued Education & Career R&D

VISION & STRATEGY

Market Trends

Many higher education institutions are facing enrollment declines and student demographic shifts, which are putting pressures on budgets

Enrollment declines

Across the board higher education enrollments have been declining, particularly for small private schools

"COVID hurt everyone's enrollments. We're rebounding a bit, but really focusing on retention and student success."
Director, Academic Technology, Small 4-year private institution

"Although enrollments are stabilizing, it's important to note that we're stabilizing nationally at a level far below pre-pandemic levels. We have nearly 1.2 million fewer students than in 2019."
Director, National Student Clearinghouse Research Center

Changes in student types

There is also an ongoing transition in student type, with a growing population of non-traditional (e.g., dual enrollment, non-degree, fully virtual)

"There has been an 8% increase in dual enrolled high school students since fall 2022 (an increase of 49,000 students under age 18). Additionally, there has been a 4.8% increase in enrollment in undergraduate credential programs, compared to a 1.4% decrease in bachelor's degree programs."
National Student Clearinghouse

"We've seen a big increase in the number of fully online students over the past few years. We started with only 20, and now are at over 400."
Associate Provost for Academic Affairs, Small, 4-year private institution

Budgetary pressures

Institutions are facing enrollment related budgetary pressures, in some cases exacerbated by the expiration of COVID stimulus funds

"The budget for academic institutions lives and dies by enrollments. When enrollments are down, this results in budget reductions which can impact all facets of the institution."
Former Senior Director, Competitor

"Technology-related spending held steady through COVID due to grants and stimulus finding. We're expecting a slight recession post-COVID with the stimulus funding and grants ending."
Director, Education Technology & Online Services, Small 2-year public institution

Source: EY-Parthenon interviews and analysis; On EdTech; National Student Clearinghouse; Inside Higher Ed

EY Parthenon

We are in a period of unprecedented skill disruption in the job market

Skills—not degrees—are becoming the currency of hiring and growth

37%

Of the top 20 skills requested for the average US job have changed since 2016

76%

Of jobs changed more from 2019 through 2021 than in the previous three-year period

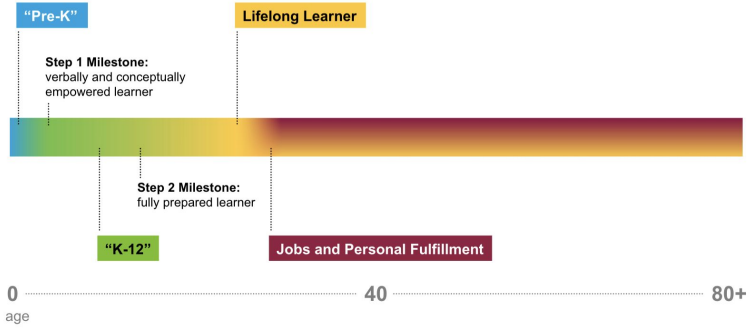
1in5

Skills requested for the average US job is an entirely new requirement for that occupation

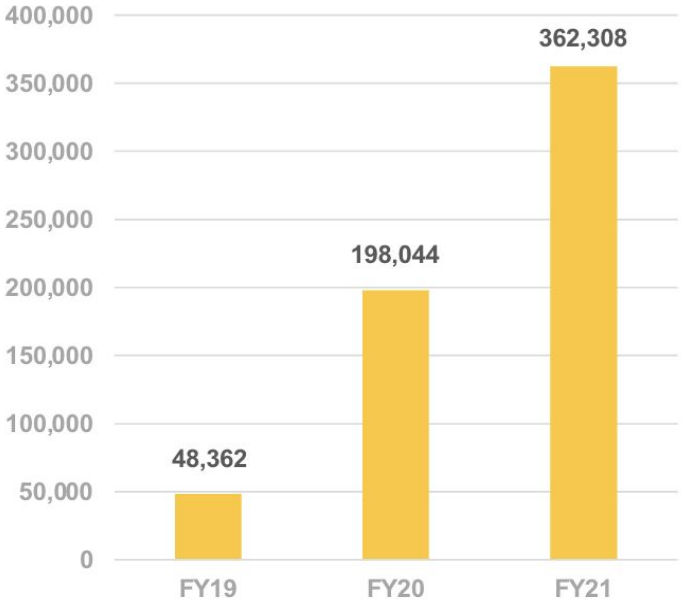
Source: https://www.bcg.com/publications/2022/shifting-skills-moving-targets-remaking-workforce

Market leaders have expanded their focus

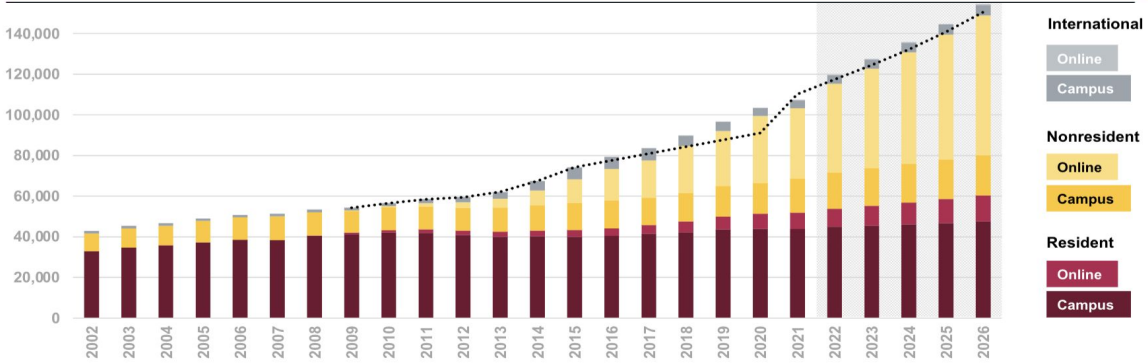
Arizona State University



The Learning Enterprise nearly doubled the learners enrolled in its second year of operation



Undergraduate enrollment reaches highest ever levels



All data from ASU ABOR Learning Enterprise Report (Internal)

Learning institutions will adapt curriculum and engagement to enroll and retain learners with non-traditional goals, schedules, and backgrounds.

13%

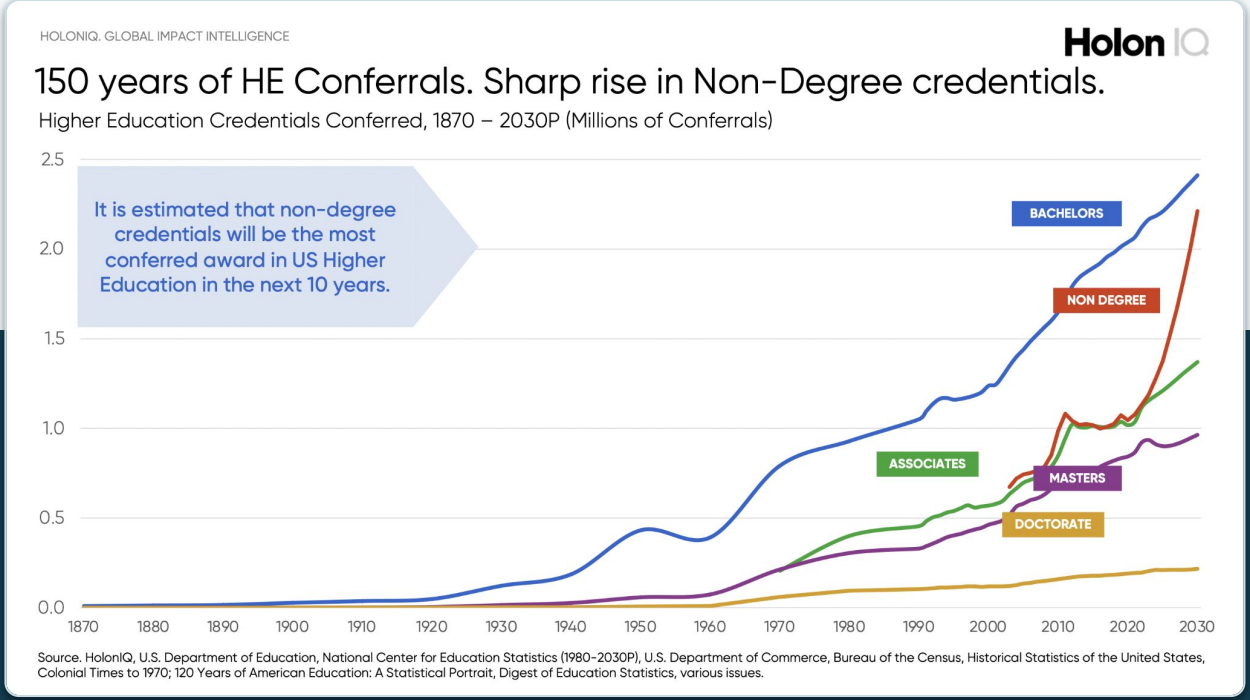
Decline in 2- and 4-year enrollments since 2012*

*Source: McKinsey & Company

11%

11% Projected increase in non-traditional enrollments between 2015 and 2026**

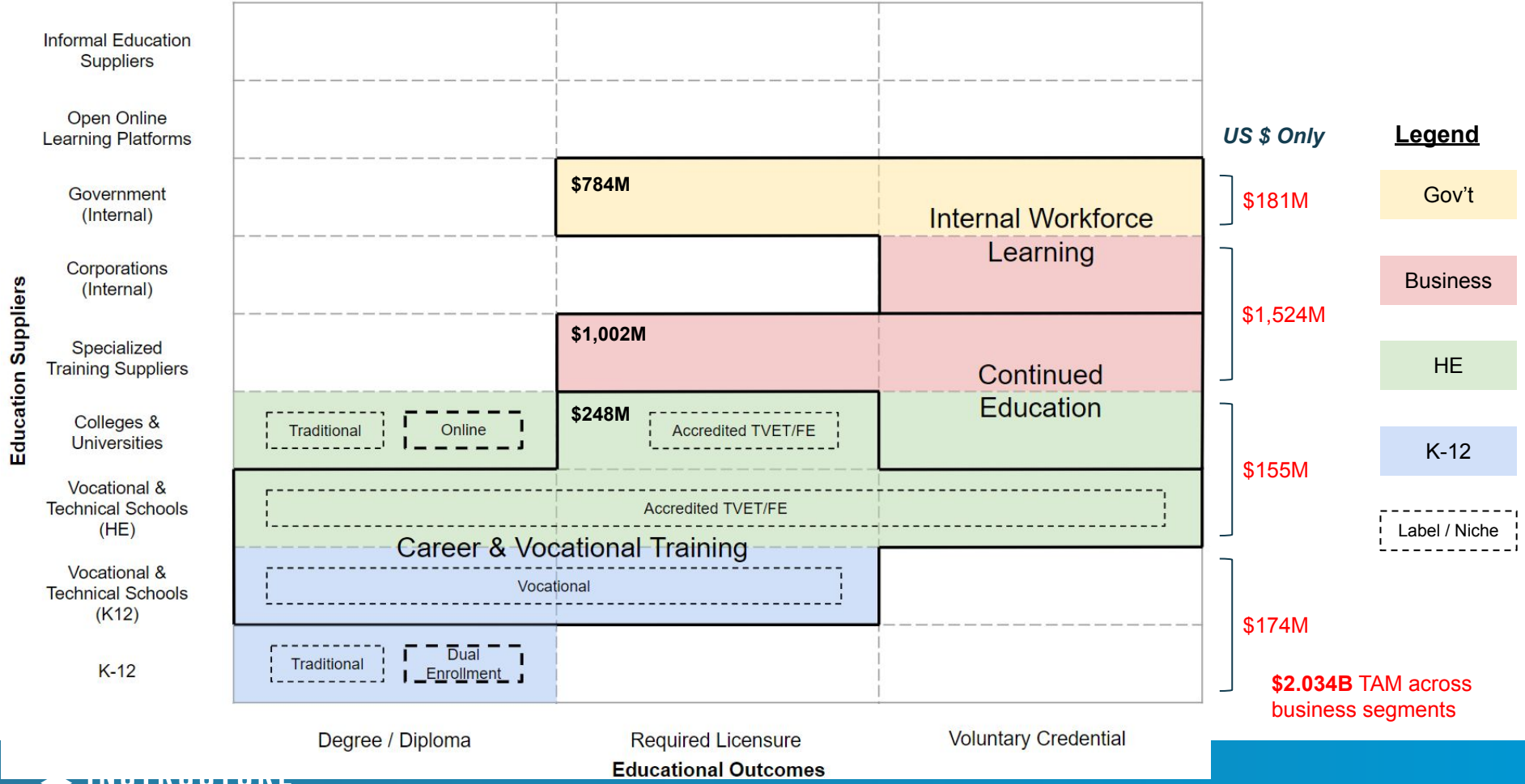
**Source: Hechinger Report



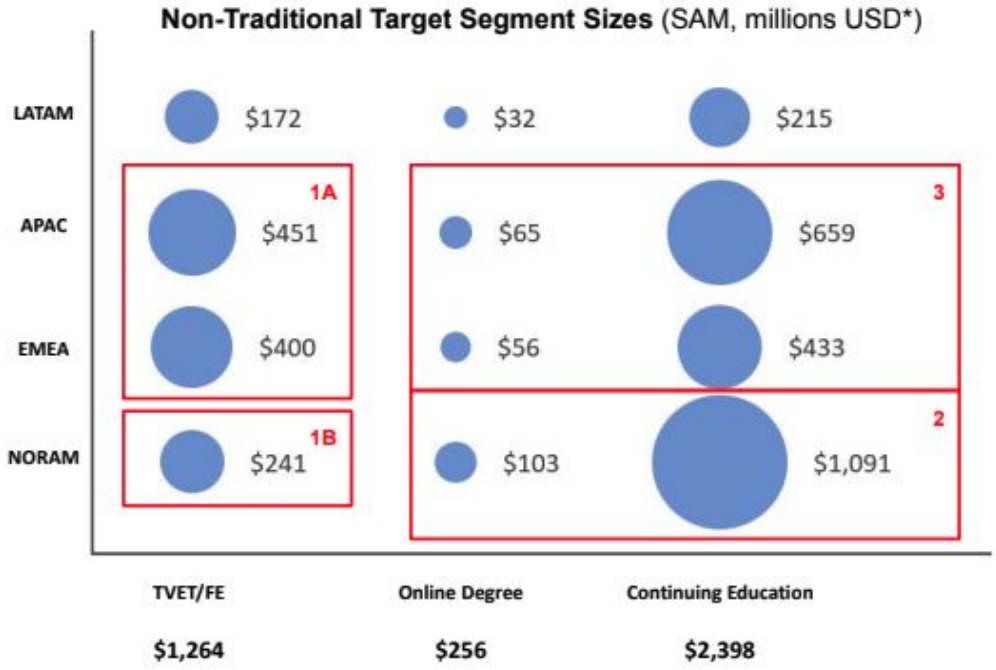
Market Opportunity & Conditions

	Dimensions	Definition	Examples
Education Suppliers	K-12	Primary and secondary institutions that provide formal education from kindergarten through 12th grade; includes public and private districts, charter schools, dioceses, K12 state departments of education.	• East High School, Centennial Middle School, Franklin Elementary School
	Vocational and Technical Schools (K-12)	Secondary institutions delivering vocational education and training for specific trades/professions.	• Jordan Academy for Technology and Careers, Granite Technical Institute, Minuteman High School
	Vocational and Technical Schools (HE)	Post-secondary institutions delivering vocational education and training (primarily non-liberal arts) for specific trades/professions; includes trade and vocational schools, technical institutes.	• Mountainland Technical College, Culinary Institute of America, Pittsburgh Institute of Aeronautics
	Colleges and Universities	Accredited post-secondary institutions offering degrees at the associate, bachelor's, master's, or doctoral levels; includes HE state departments of education and systems.	• BYU, Wharton School, Harvard Medical School, Salt Lake Community College
	Specialized Training Suppliers	Organizations that deliver training focused on a specific industry, skill set, or credential; non-educational companies providing skills training to customers; external corporate training organizations.	• Project Management Institute (PMI), Becker Professional Education, General Assembly, Kaplan
	Corporations (Internal)	Organizations/companies delivering training for own employees' professional skilling or development; includes non-profits.	• Apple University, Hamburger University, American Dairy Product Institute
	Government (Internal)	Government entities delivering training for own employees' professional skilling or development.	• Los Angeles County Department of Public Health, U.S. Department of Education
	Open Online Learning Platforms	Platforms offering open, online courses across multiple industries, disciplines, and topics.	• Coursera, Udemy, Pluralsight, LinkedIn Learning
	Informal Education Suppliers	Platforms offering informal content/training with low barriers to entry, usually for ad hoc informational use.	• Khan Academy, YouTube
Education Outcome	Degree / Diploma	Training that results in a degree or diploma.	• Secondary School Diploma, Post-secondary Degree
	Required Licensure	Mandatory training that results in legal, professional licensure that lets workforce members begin or continue practicing a profession that requires licensure; standards often set by a government entity.	• Healthcare, Law, Accounting
	Voluntary Credential	Voluntary, nice-to-have credentials that add value, personally or professionally, but are not legally required for a particular job.	• Certification, Badge, Receipt, PDF of Completion

Continued Education & Career (CEC) Segment Map



Opportunity by Region



	Totals
LATAM	$419
APAC	$1,175
EMEA	$889
NORAM	$1,435
	$3,918

Legend

Order of Priority

~$3.9B immediate SAM opportunity[1]

*Target countries only

1. Excludes US-only FED/State opportunity

Source: Internal Market Model, updated April 2024

Conditions

Opportunities

- Instructure's size, scale, and end to end platform support positioned for non traditional learning opportunities
- Low IPM rate into NORAM non-trad market user base, ~71M non trad users in NORAM, 6% pen rate in '24
- Parchment acquisition provides opportunity to connect classroom to credential and position Instructure to own lifelong degree and non-degree credential issuing and management
- Existing customer base increasingly prioritizing non-trad use cases (i.e. ASU, Wharton Online, eCornell)
- Fast-growing ProLearn business (exceeding quota at 126%), with customers demanding use cases be met (ie. CFA, $3.2M)

Risks

- Growing customer perception as lacking nimbleness and speed; *"When Speedgrader came out, it was revolutionary. You used to be very nimble, but you no longer feel nimble" – Utah State*
- Internal organization (GCO, R&D) heavily oriented to traditional customers and sales
- Emerging competitors targeting non-trad use cases across every product line and moving fast (Honor Ed, Territorium, Accredible, Portflow, etc.)
- Short window to establish ourselves as a non-trad market leader (learn to earn)
- Not seen as an innovative organization (i.e. eCornell)

Customer Conversations

“When Speedgrader came out, it was revolutionary. You used to be very nimble, but you no longer feel nimble” – Utah State

“It feels like Canvas was built for a class of 20-30 students, but we have 2200 students in Bio 101” – UCLA

“You are not the LMS for the type of program we’re trying to run” – eCornell

Customer Insights Extended: Biz/Gov and Continued Ed

Key Product Opportunities:

1. Academic & “Busy” Interface
2. Leadership and Learner Dashboard
3. Two-Way CRM/HRIS Integration
    a. Enrollment Management
4. Course Recommendations

Source: Professional Learning & Gov Product Feedback, updated August 2024, CFA Dashboard requirements, July 2024

Continued Education and Career Requirements

LMS

- **Unlock Large Course Support** by modernizing and componentizing grading, modules, groups, bulk actions, and concurrency
- **Streamlined, Mobile first UX/UI** - Self-paced, asynchronous, and hybrid learning experience. Short-form, large scale courses. Self-support. Dynamic homepages
- **Learner support -** Global identity**,** Experiential learning, personalized pathways, automated insights & intervention
- **Enrollment flexibility -** Lightweight enrollment tied to CRM recruitment systems w/o full SIS integration, multi-institution consortium models, HRIS, rolling cohort
- **AI enabled** - Next wave of efficiency tools embedded within Canvas – E.g., Assignment authoring; quiz rationale; Student nudging and notifications; Audience-aware content authoring tools to support students with unique needs
- **Portfolio** enables learners to curate academic and on the job evidence of skill mastery
- **Assessment** offers institutions assessment functionality and institution management on learners portfolios
- **Skill profile** auto-generates a skill profile based on LMS and portfolio evidence
- **Connections** connects non traditional learning experience to career opportunities

Mobile First

- **Accelerate the Shift to Mobile-first**
  - Better meet the needs of Non-Traditional Learners
  - Build the foundation and enable tooling required to support a decentralized mobile development model
  - Pilot mobile-first development in key feature areas to validate approach and prepare for further decentralization

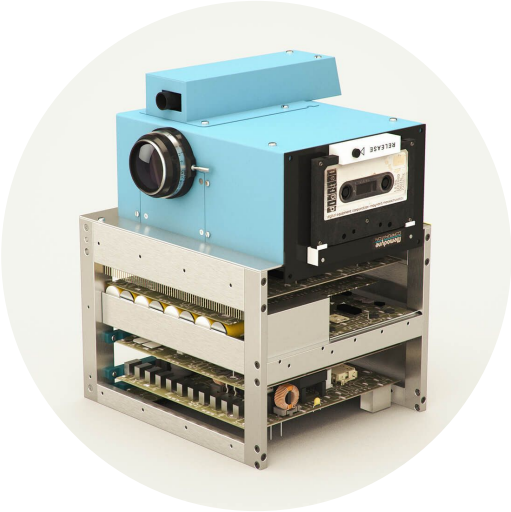
Accessible & Cohesive Experience

- **Section 508 & VPAT Certification** - ensure Canvas LMS is WCAG 2.1 Level A/AA and Section 508 conformant, making it legally inclusive and able to meet the diverse accessibility needs of our users
- **Consistent Color Palette** - boosts accessibility for all users and ensures consistency within and across products
- **Consistent Layout** - streamlines user experience across all products and breakpoints, with improved accessibility, and higher cross-product discovery and retention

Service Enabled Open API

- **Unlock large course support by modernizing & componentizing**
  - Focus areas include Gradebook, Groups, Bulk Actions, Modules, and Concurrency
  - Increase developer productivity, reduce AWS costs, accelerate speed of innovation
  - Drive core retention; enable international and non-traditional growth

Why Now?



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Approach

Foundational needs of our future Platform

AI Powered

Accessible & Cohesive Experience
(Customer obsessed)

Modern Service Enabled Open API

Partner Enabled

Data Access
(Stewards of Customer & Partner data)

Mobile First
(Learners & Parents)

Mobile Optimized
(Educators)

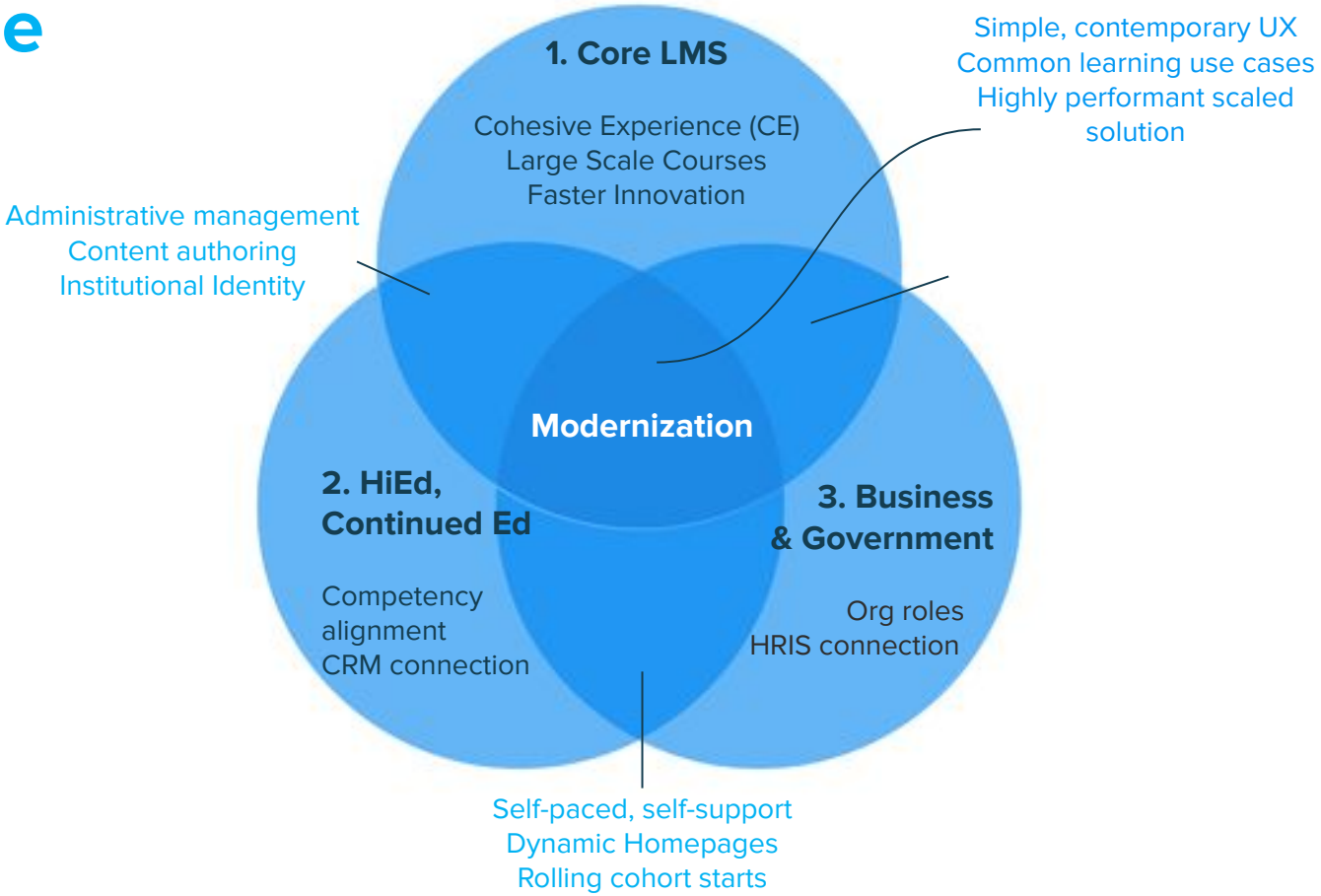
Reliable, Scalable, & Global Tech Platform
(High Quality Bar)

Secure & Private by Design

POWERED BY TALENT & CULTURE

Project Justine

1. **Core LMS**: Evolve our widely distributed core to meet today's customers' needs
2. **HiEd, Continued Ed:** Enabling traditional institutions to lean into their non-traditional journey, learner's needs, and institutional needs
3. **Business & Government**: Accelerate growth of our promising Business & Government sectors (support won deals, e.g. CFA)



Canvas LMS: Experience 'Modes'

Support Multiple Monetization Use Cases	Shared Use Cases	Specialized Use Cases	Market
SLX Simplified LMS Experience aka C4E	• Global identity • Large scale course support • Online, hybrid learning • Learner dashboard • Skill/competency outcomes	• Visual forward, simplified UI, appropriate for new to LMS learners • Opinionated, favor simplicity over complex flexibility • Classroom centric, homeroom dashboard	• **K12** • **International** • HiEd • Provider
TLX Traditional LMS Experience aka What everyone is buying		• Academic, robust UI, appropriate for experienced educators and instructor-led learners • Full admin, sub-admin, and educator flexibility to manage options and customize	• **K12** • **HiEd** • **International** • Provider
CLX Augmented LMS Experience that supports Continued Education & Career aka Non Trad		• Contextual UI, optimized for outcome-oriented, self-paced, asynchronous learning that is dynamically chunked • Scaled automated communication & feedback loops (in place of 1:1 educator) • Program (cross-course/multi-course) builder, outcomes, insights, and evaluations; modular course design • CRM & HRIS enrollment management • Workforce support, i.e. 5+ layers of hierarchical user organization, unique data needs e.g. "Leader" dashboard, program ROI insights, recommendations • Embedded profile to evidence, skill, credential progress	• **Business & Gov** • **HiEd** • International

Modernizing the Experience

Who is the Non Traditional Learner?

- 18-74 years old
- Average course length is 1 quarter (3 months)
- Learning part-time, often alongside full-time employment
- Online, large-scale, asynchronous, self-paced
- Enrolled in multiple programs simultaneously, employer and non-employer provided
- Prioritizes ROI – connection to career opportunity

Key Objectives of CLX

- **Focus on learner experience**
  - Mobile-first
  - AI-powered
  - Contemporary
- **Leverage or enhance existing core Canvas services**
  - Enhanced services benefit both Core LMS and this new non-traditional experience
- **Leverage core gains to serve new use cases**
  - Non-traditional
  - ProLearn

Golden Rules of CLX

- Adoption is a two-way door
  - **Users can try new things and go backwards**
- No ‘migration’ for current customers
  - **We will not introduce tension in trying new product experiences**
- Build in the open
  - **We will normalize regular sessions with our customers to validate as we build from infrastructure to features**
- Standards aligned
  - **Everything new will support global and education industry standards**

Continued Education & Career Triad Leadership

Continued Education & Career
PM: Elizabeth DiRenzo, Sr. Director of Product Management
EM: Zoli Csapo, Sr. Director of Engineering
Design: Michael Lum, Director of Design

Continued Education & Career LMS Experience (CLX)

Teach and Learn

Learner

PM: Jenny Thai, Sr. PM
EM: Aaron Suggs*, Sr. EM
Design: Kiersten Miller*, Lead Designer

Educator & Admin

PM: Allison Howell, Sr. PM
EM: Aaron Suggs, Sr. EM
Design: Allison Pittler, Sr. Designer

Showcase & Connect

PM: Ryan Dontas*, Sr. PM
EM: Aaron Suggs, EM
Design: Agatha Campana Tutia*, Sr. Designer

Portfolio

PM, Dalma Schnell, PM
EM: Zsolt Szentesi, EM
Design: Andras Himer, Sr. Designer

*** denotes strategic leader of group**

2H2024

OKR Continued Education and Carer Experience

Develop and validate a CLX Learner Prototype AMB 80% of CCE Product Council report 9+ on willingness to beta survey; weekly progress tracking

Key Milestones

- **August 2024:** First Continued Education & Career Product Council
- **September 2024:** Team assembled and kicks off on 9/4
- **November 2024:** Customer Discovery Session in Budapest
- **EOY 2024: Validated Learner Prototype** AMB 80% of CCE Product Council report 9+ on willingness to beta survey; weekly progress tracking
- **EOQ1 2025: Closed Beta** Strategic Product Council customers (5-10) selected and onboarded into CEC Beta (Beta running through Q2)
- **2H 2025: InstructureCon Announce & Open Beta** with Beta participants sharing their experience alongside Product team; Open Beta and iterative development
- **Q3 2025** Pilot sales
- **CKO 2026** CLX generally available, scale sales, built into AOP

Non Traditional Learning Design Principles

Non Traditional Learning Design Principles

Calming

Light

Approachable

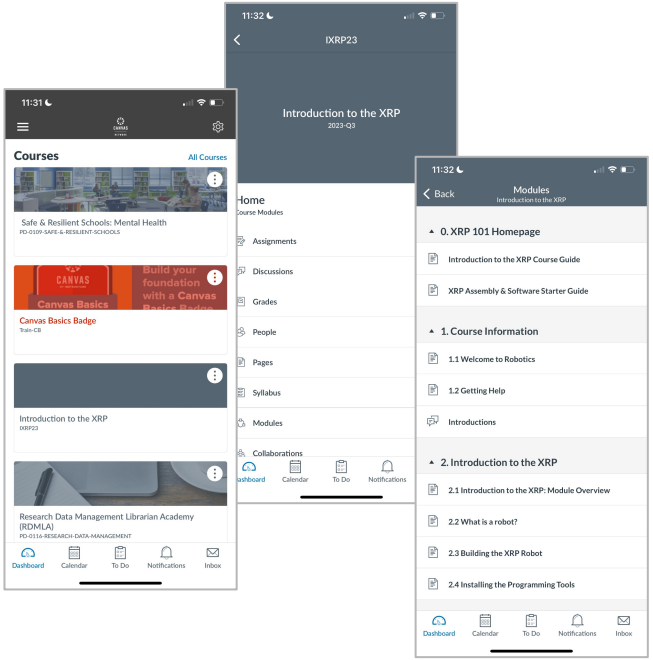
Supportive during the process of learning
Encouraging when reaching your goal

Simple

Bite-sized, not overwhelming

The Refined Younger Sister to Canvas

CLX Experience



Continued Education and Career Technical Strategy

Main principles

Steel threading

- Align to Target Architecture
- Learn from other steel thread projects

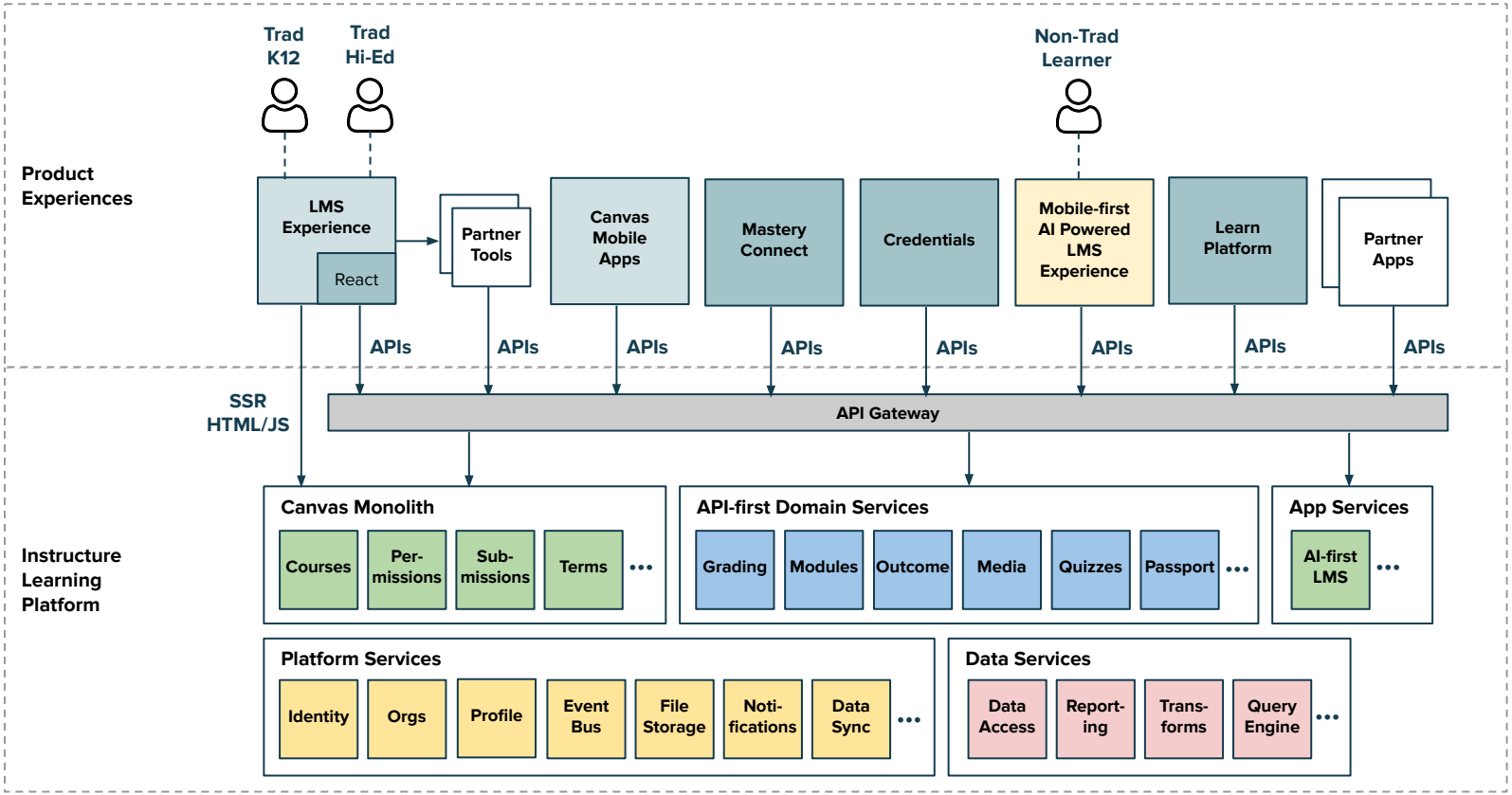
Dependency handling

- Avoid any user migration
- Use existing backend APIs for direct planning
- Advise backend teams for improvements we need in the future

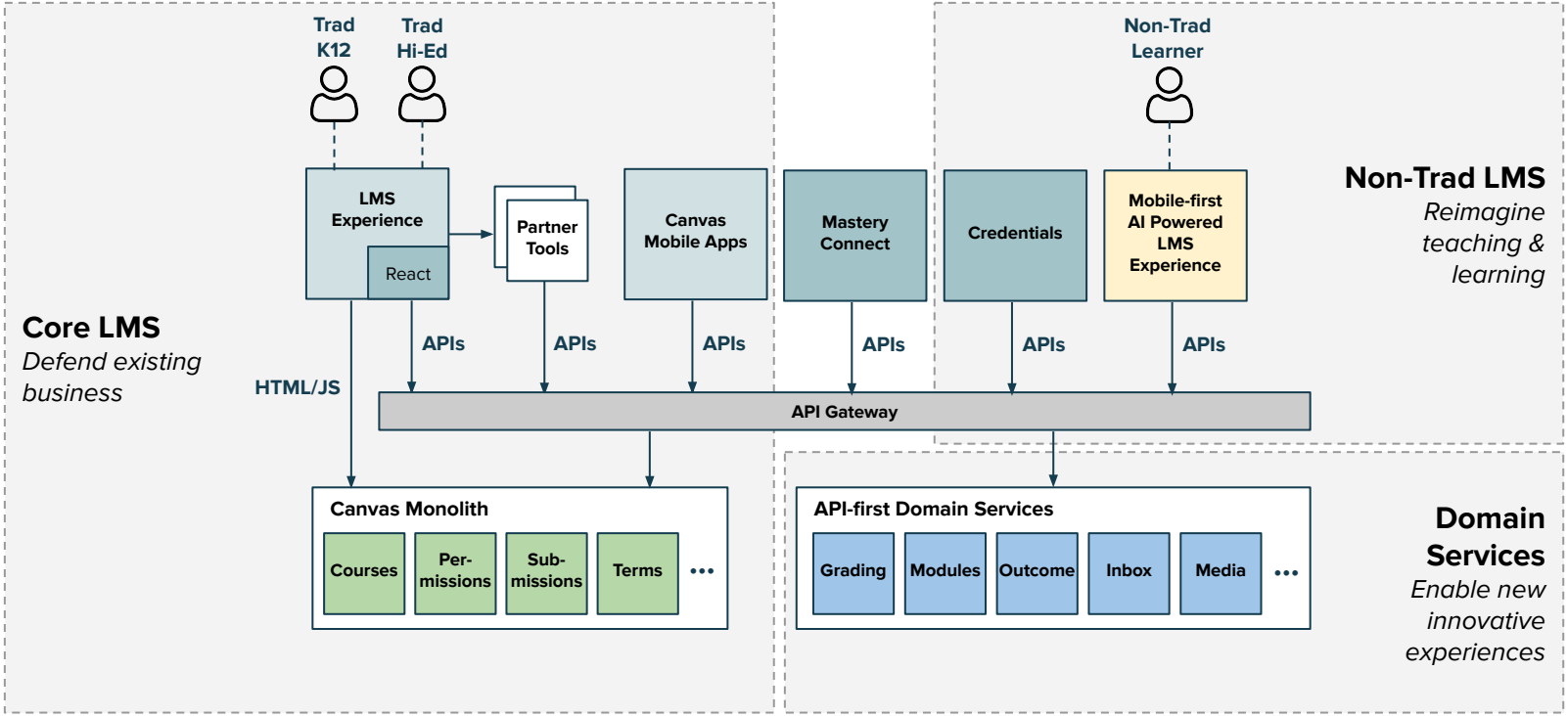
AI

- AI is not the goal, but the tool for better user experience
- Learn and re-use projects from Advance Development

Architectural Vision



Three Major Workstreams



API-first Strategy

Step 1
Discover

Research customer needs (internal and external) and define an API contract using Domain Driven Design (DDD) principles.

Step 2
Deploy

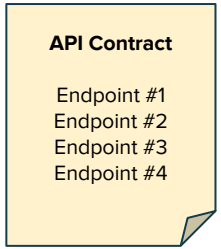
Deploy the API contract to the API Gateway and map the new endpoints to the existing Canvas monolith APIs. Use the gateway's API routing and aggregation capabilities as necessary.

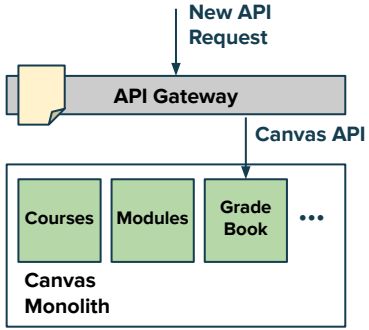
Step 3
Migrate

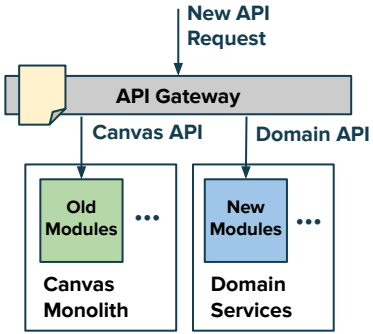
Incrementally migrate the implementation of each API endpoint from the Canvas Monolith to the new modern domain service. Use the gateway to seamlessly manage the transition.

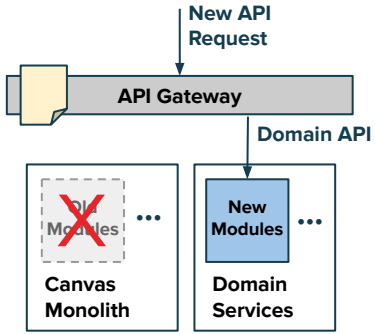
Step 4
Retire

Once functionality has been fully migrated to the new modern domain service, retire the associated Canvas monolith code.









Non-Traditional Learning: 3-year Roadmap

	2H 2024	1H 2025	2H 2025	FY 2026	FY 2027
Key Outcomes	• Large scale course support • Modernized, streamlined UI/UX • Learner dynamic dashboard	• Global identity for NT learners • ePortfolio assessment • Portfolium migration • NLX Educator validated prototype	• NLX Learner in Beta • Journey GA; Portfolium sunset • AI-powered innovative learning experience • AI-powered skill profile	• NLX Learner GA • NLX Educator Beta • Skills based hiring	• Learner employment insights for institution • Expand learning creator customer profile to enable non-institutions
Go To Market Approach	• Enablement for NT portfolio/services org wide • PL ILP marketing content • SF hygiene & organization for NT - PL biz planning	• Define & execute 2025 thought leadership msg • Fed S • NT S • Bran	• Fed ATO NT solutions • NT Drive team HC, bid	• Sales Prop/strategy NT & Fed • Robust consulting services credential program	• Sales Prop/strategy
Services, Success & Support		• NT in • NT u • VUM • Learner Passport/NT LMS Beta	• NT CSMs scaled	• TBD	• TBD
Partnerships	• CRM • Skill taxonomy (i.e. TalentNeuron) • Content Providers PL • AstrumU	• HRIS • ATS integration pilot • Fed contracting vehicle partnerships	•	• ATS integration at scale	• TBD
M&A	• NT leather workflow orgs e.g. Knolskape	• TBD	• TBD	• TBD	• TBD

Work in Progress